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FEDERAL MARITIME COMMISSION

WASHINGTON, D. C.

June 12, 1995

DOCKET NO. 89-26

THE GOVERNMENT OF THE TERRITORY OF GUAM, ET AL.

v.

**SEA-LAND SERVICE, INC. AND
AMERICAN PRESIDENT LINES, LTD.**

**RULING ON REQUEST OF APL FOR INTERPRETATION
OR LIMITED AMENDMENT OF THE PROTECTIVE ORDER**

As described in the May 15, 1995 Surreply Brief in this proceeding, American President Lines ("APL") has entered into a memorandum of understanding with Matson Navigation Company ("Matson") pursuant to which APL plans, *inter alia*, to terminate its Guam service and sell three of the vessels (as well as other assets) used in that service to Matson (which will operate the vessels in a service that will include a Guam call). [APL Surreply p. 85 & n. 110.] In furtherance of that memorandum of understanding, APL and

Matson are currently in the process of performing due diligence review, completion of which is subject to very tight time constraints.

As an important part of the due diligence process, APL needs to make available to counsel for Matson relevant information regarding its Guam service, including information utilized in this proceeding that is subject to the April 20, 1990 Protective Order solely by reason of being claimed confidential by APL (*i.e.*, *not* information claimed confidential by any other party.¹ In particular, APL needs to make available to Matson's attorneys copies of the three post-hearing briefs filed by APL, from which APL would first redact any information relating to Sea-Land or the private complainants that was submitted under the terms of the protective order and has not since been declassified. Since APL's briefs are almost entirely about APL data, it states that the amount of information relating to Sea-Land and the private shippers is both small and readily segregable. Dissemination of these redacted briefs would be restricted to attorneys for Matson (who will enter into a confidentiality agreement with APL) and their use would be strictly limited to performance of the due diligence review.

Although APL believes that the Protective Order has no application under these unusual circumstances to APL's proposed action--since all material claimed confidential by any other party will be redacted--APL has, as it believes appropriate in all such cases, conferred with counsel for GovGuam and Sea-Land.

¹The APL data to be disclosed to Matson counsel include calculation or figures contained in the testimony of GovGuam witnesses (principally Dr. Nadel) that are subject to the Protective Order only because they reveal or are based on confidential APL data.

APL urges that there can be no plausible argument that the Protective Order prohibits APL from disseminating to counsel for Matson copies of APL briefs shorn of other parties' confidential information; that since the *only* confidential information to be disclosed to Matson is *APL* data, neither Sea-Land nor GovGuam--which have no rights in that data--can have any standing to object to that disclosure; and that the Protective Order cannot possibly be intended to limit a party's dissemination of its *own* confidential information (particularly such a limited dissemination as APL contemplates).

APL argues that the clear purpose of the Protective Order is to allow each party to protect the confidentiality of its own sensitive information,² and that it would turn this purpose on its head to interpret the Protective Order so as to allow one party to prohibit another party from making use of its own data.

For the foregoing reasons, by motion filed June 1, 1995, APL requests the Administrative Law Judge to issue an interpretation of the Protective Order holding that it does not prohibit APL under these particular circumstances from making the limited dissemination of its own confidential data described above.³

Sea-Land Service, Inc. ("Sea-Land") filed a Reply on June 6, 1995 to the "Request of APL for Interpretation of the Protective Order" and opposes it.

²See Joint Motion for Protective Order (April 19, 1990).

³APL notes that the Administrative Law Judge is in any event authorized by the Protective Order to alter or amend the terms of the Protective Order as he deems appropriate [Protective Order ¶ 9; April 26, 1990 Prehearing Conference p. 2]. Accordingly, while APL believes that this matter can and should be resolved by an interpretation of the Protective Order, if the ALJ disagrees APL asks that he reach the same result by amending the Protective Order to accommodate these unique circumstances.

At the outset, Sea-Land wishes it understood that its position herein is taken in an atmosphere of the greatest regard for both APL and Matson, as well as for the attorneys representing these companies. APL, Sea-Land and their counsel have, over the past half decade of this proceeding, cooperated extensively in order to allocate resources and control costs. Sea-Land states that it is in some degree the closeness of this cooperation that causes it to be cautious about revisions to the guaranties of confidentiality that have been consistently applied to date.

Sea-Land states that there is no escaping, however, that, by proposing release to third parties of material deemed confidential and subject to the protective order, APL wishes to effect a major change to the procedures governing the use of confidential data.⁴ Sea-Land states that the Protective Order is clear and does not permit an "interpretation" that would release this information into the hands of outsiders. Paragraph 4 of the April 20, 1990 Protective Order, at page 2, states clearly and unambiguously that "[c]onfidential business information shall be used only for purposes of this proceeding . . . (emphasis added). Sea-Land urges that plainly, a review of the confidential briefs by Matson in conjunction with the purchase of assets is not a use "for purposes of this proceeding."

Sea-Land contends that what APL seeks is no mere "interpretation" of any existing order but, rather, a request for a substantial change to the existing confidentiality regime. Both Sea-Land and APL have consistently resisted disclosure to outsiders. Sea-Land feels

⁴Wright & Miller note that: "[a]lthough requests for modification [of protective orders] do frequently come from the litigants themselves, it is often true that they come from, or are made on behalf of other persons." Wright, Miller & Marcus, Federal Practice and Procedure: Civil 2d § 2044.1, at 576 (1994). Since APL's attorneys are already signatories to the Protective Order, Sea-Land states that the "Request" is necessarily made on behalf of Matson.

that it would be completely inconsistent for it to change its position at this stage simply because of its high regard for APL and Matson and their attorneys. Sea-Land states that it cannot now assent to the use of the same information for unrelated commercial purposes.

Sea-Land states that the degree of violence that would be done to the parties' expectations under the current protective order by APL's motion is aggravated when one considers that Matson is a direct competitor of Sea-Land in the U.S./Hawaii trades and will become a direct competitor of Sea-Land in the U.S./Guam trades when Matson commences operations with former APL assets. Sea-Land reminds the Administrative Law Judge that the primary reason for the establishment of the restrictive regime found in the Protective Order was to protect APL and Sea-Land data from being put to competitive use by the other carrier. Matson is as formidable a competitor to Sea-Land as APL has been. Sea-Land urges that the disclosure of information prepared for "purposes of this litigation only" to a competitor for reasons having nothing to do with this litigation would be completely contrary to the assumptions of the parties as to the use of information prepared in the expectation that it would remain within the confines of this proceeding.

In a concurring opinion in a case in the Second Circuit, Judge Medina expressed a view that Sea-Land states defines its concerns here:

The protective order at the heart of this case represents a formal agreement between all parties to the civil case which was approved by the District Judge then presiding. The essence of this order, as it is relevant to this appeal, is that the depositions of parties and non-party witnesses were for use only in the civil litigation. I believe that such an agreement, if valid at the time made, should be honored without doing any balancing as to the benefits to be derived from disregarding it.

Martindell v. International Tel. & Tel. Corp., 594 F.2d 291, 297 (2d Cir. 1979) (Medina, J., concurring).⁵ See also *Minpeco S.A. v. Conticommodity Services, Inc.*, 832 F.2d 739, 742 (2d Cir. 1987) (modification of protective order not justified; "compelling need" not met); *In re Grand Jury Subpoena*, 945 F.2d 1221, 1224 (2d Cir. 1991) (grand jury subpoena should not be enforced against otherwise valid protective order).

Sea-Land states that likewise, the agreement should be honored here. Its position is that:

There are ample alternatives that will allow Matson to perform its due diligence review without imposing on the F.M.C.'s processes. There has been no showing as to why briefing materials in a section 22 complaint case that covers a finite number of shipments in a historic period can possibly affect Matson's commercial evaluation of the wisdom of acquiring APL's Guam service assets. There has been no showing as to why access to public versions of briefs, exhibits and testimony are not satisfactory to inform Matson of the nature of APL's Guam operations. There has been no showing as to why Sea-Land's assurances to APL's counsel that it does not object to the conveyance to Matson of APL data that were developed independently of this proceeding are not sufficient to meet Matson's commercial needs.

Sea-Land appreciates that considerations of prudence and full commercial knowledge place burdens of disclosure and diligent review on APL and Matson. Through counsel, Sea-Land has informed APL that it has no objection to disclosure to Matson of any of APL's regularly kept books, records and other data that reflect APL's operations in the Guam trade. Sea-Land has made clear to APL that it has no objection to such disclosures even if the documents or data so disclosed are covered by the terms of the

⁵The majority opinion in *Martindell* acknowledges that the primary policy reason for resisting modification of protective orders is that modification would tend to make protective orders appear unreliable. Orders must be enforceable if they are to have any meaning at all. As the principal opinion in *Martindell v. International Tel. & Tel. Corp.*, 594 F.2d 291, 295 (2d Cir. 1979) stated:

[T]he vital function of a protective order . . . is to "secure the just, speedy, and inexpensive determination" of civil disputes by encouraging full disclosure of all evidence that might conceivably be relevant. This objective represents the cornerstone of our administration of civil justice.

protective order because they have become part of the record of this proceeding. Such documents would appear to be at the heart of any commercial inquiry by Matson or any other acquiring entity that must evaluate the financial condition of APL's operations in the Guam trade.⁵

What Sea-Land vigorously objects to is disclosure of briefs, documents or other information that were prepared specifically for this proceeding. Sea-Land's objections include post-trial briefing materials that summarize or interpret the record. APL's estimable briefing of an enormous and confusing record necessarily contains expert opinions, quantitative data that were projected for purposes of this litigation only, and information jointly developed with Sea-Land through testimony of Dr. Lawrence Kolbe, an expert co-sponsored by Sea-Land and APL.⁶ In these circumstances, there is a substantial question of whether the narrative of APL's briefing materials could ever be segregated to eliminate references to matters developed solely for purposes of this proceeding or to eliminate jointly developed work product and testimony.

⁵The moniker which is used to justify Matson's request to peruse APL's confidential submissions is "due diligence". APL does not define "due diligence" in its Motion. The term ordinarily means merely the measure of prudence to be expected from a reasonable man, dependent upon the particular circumstances. *See e.g.*, Black's Law Dictionary, at 411 (5th ed. 1979). APL's Motion does not suggest any reason why Matson needs to review confidential portions of the record.

⁶APL's Motion, at page 2, notes that APL's post-hearing briefs would be disseminated to "attorneys" for Matson, who will enter into a confidentiality agreement *with APL*. This suggested confidentiality agreement between APL and Matson does not meet Sea-Land's concerns. Any access granted to confidential portions of the record must be conditioned upon Matson's attorneys being subject to the same terms and conditions of confidentiality as are imposed by the Protective Order itself. In other words, at a minimum, if Matson is granted access to APL's briefs, the protective order should be amended to permit Matson's attorneys to become subject to its conditions.

Sea-Land states further that from an administrative standpoint, APL's motion is similarly uninviting; that to grant APL's request, we would have to recognize and administer the use of a new category of information, *i.e.*, confidential information developed solely for

purposes of this proceeding but available to third parties with certain types of commercial interest in the proceeding; and that there is no assurance that other parties might not assert similar or analogous commercial interests in the contents of this record and the "Matson Exception" would be repeated by other shippers or carriers.

Sea-Land states that the Commission has a substantial interest in ensuring that its proceedings are used only for narrow purposes contemplated by the statute. Sea-Land urges that the proceeding should not now become a resource for evaluation of commercial possibilities; that the proceeding is solely a juridical process designed to test the claims of GovGuam that a finite number of shipments that moved between 1987 and 1991 were unlawfully rated; that the Protective Order is and was no more than a tool to facilitate resolution of that narrow issue under the 1916 Shipping Act; that the Protective Order, whatever its limitations, has permitted the exchange of sensitive economic data that otherwise would have either not have been developed or would have been the subject of rancorous disputes; and that to modify its provisions at this date subverts that legitimate function and would betray the quite reasonable expectations of the parties who, upon entering the agreement, had every reason to believe that data developed for this proceeding could be deemed confidential and would be used solely for purposes of this litigation.

Sea-Land believes that alternatives can be found to APL's motion to modify the Protective Order and pledges to work with APL to be certain that there is no impediment to the release to Matson of APL-Guam data that exist independently of this proceeding.

No other party responded to APL's request.

Discussion and Conclusions

APL and Sea-Land were unable to resolve their differences by negotiation and argument was conducted with the parties by conference calls on June 8th and 9th. It was learned (1) that APL and Matson expect to complete the due diligence review by approximately June 15 so time is of the essence and (2) no public version of the three APL briefs in question have been prepared or filed. (No public versions of any briefs have been filed.) After extended discussion this Judge decided to grant APL's request with certain safeguards designed to protect the interests of Sea-Land and the other parties.

Under ¶ 4 of the protective order, April 20, 1990, APL and Sea-Land submitted confidential business information only for purposes of this proceeding and any subsequent judicial review. The confidential information was made available only to parties to the proceeding as defined in ¶ 5 of the order and who agreed to be bound by the order's restrictions.

In the present request APL wants to make available to Matson, a non-party, its three briefs based on the 21,000 page record and containing principally information which APL itself has labelled as confidential. (APL claims to have eliminated all confidential Sea-Land data. The draft order would give Sea-Land an opportunity to verify this.) Obviously before Matson finalizes the purchase of APL vessels and other assets in the Guam trade it needs some verification of any potential exposure as a result of any future orders in this proceeding. Matson also clearly needs to obtain all possible information relating to the soundness of the proposed commercial transaction. APL's briefs based on the huge record seem a likely source to check. Sea-land, on the other hand, is concerned about the possible

involuntary release of confidential business information to a competitor. In my judgment the safeguards devised in the attached order arrived at after consideration of the views of the parties expressed in their papers and in two conference calls will be consistent with the public interest and protect the rights of Sea-Land and other parties. APL emphasized that it has redacted the briefs to eliminate any information about Sea-Land or the private complainants that was submitted under the terms of the protective order and has not since been declassified and that this amounted to about one percent of the total briefs. The redacted briefs would then be made available to Matson's attorneys in San Francisco after they signed an appropriately worded protective order. Matson's attorneys would have access to the redacted briefs for one (1) week after receipt and only for the purpose of the due diligence review. After that week the briefs and, all copies of any portions thereof, are to be returned to APL. Provision is also made in the draft order for time for an expedited appeal if Sea-Land elects to do so. An appropriate order will be entered.

IT IS ORDERED that the April 20, 1990 Protective Order in this docket is amended, pursuant to paragraph 9 thereof, by the addition of the following paragraph 11:

"11. Nothing in this Order shall be deemed to preclude counsel for American President Lines, Ltd. ("APL") from making copies of its post-hearing briefs in this docket available to counsel for Matson Navigation Company ("Matson"), subject to the following conditions:

a. Counsel for APL shall first redact from such briefs all data (including calculations based on such data) originating with Sea-Land Service, Inc. ("Sea-Land") or the

complainants that was submitted under the terms of the Protective Order and has not since been "declassified."

b. Prior to making such redacted briefs available to counsel for Matson, counsel for APL shall afford counsel for Sea-Land an opportunity to review the briefs to ensure that the redactions have been properly accomplished in accordance with the preceding subparagraph. Such review shall be completed no later than June 16, 1995, provided that counsel for APL makes the redacted briefs available to counsel for Sea-Land by June 12, 1995.⁶ If any disputes arise from this review, the parties shall make every effort to resolve them through negotiation or, if necessary, shall promptly request a conference call with the undersigned to obtain a resolution.

c. The redacted briefs may be made available to outside counsel and one inside counsel for Matson, who shall first sign the following statement:

With respect to the briefs furnished to me by counsel for American President Lines pursuant to the June 12, 1995 Order of the Administrative Law Judge in Federal Maritime Commission Docket No. 89-26, I agree: (i) that I will use such briefs solely for purposes of the due diligence review being conducted by Matson Navigation Company pursuant to its April 17, 1995 Memorandum of Understanding with APL; (ii) that I will not disclose the contents of such briefs to anyone not authorized to receive them by the Order or by the April 20, 1990 Protective Order in that docket; and (iii) that I will return such briefs to counsel for APL within one week of receipt and will not retain a copy of any portion thereof.

⁶Upon request, counsel for complainants shall be afforded an opportunity to review the redacted briefs within the time frame provided for Sea-Land's review.

Any violation of this agreement shall be sanctionable to the fullest extent authorized by law or regulation. Counsel for APL shall file the original signed agreements with the Secretary of the Commission and shall serve copies on the parties to this docket."

IT IS FURTHER ORDERED that the effectiveness of this Order shall be stayed for three business days from the date of service in order to allow Sea-Land an opportunity to move for leave to appeal should it so choose; provided that this does not affect the time frame for review of the redacted briefs established in paragraph 11(b) of the amended Protective Order.


Frederick M. Dolan, Jr.
Administrative Law Judge